

platforms, and that might impact the profitability of the industry and could make the sun set on this “sunrise” sector, she notes. (See box *The GST Burden*)

SURVIVAL STRATEGIES

Meanwhile, online gaming unicorns are in wait-and-watch mode. Games24x7 Co-founder & Co-CEO Thamby says his firm is focussing on re-pivoting and re-thinking. “Re-pivoting means studying and understanding using a data-centric approach while taking into account how players respond to this tax,” he says. According to a top executive at one of India’s leading gaming firms, who declined to be identified, India could see the number of real-money gamers fall by more than half from about 120 million at present.

“Smaller companies are putting their business plans on hold or shutting down while bigger companies are trying to sustain and see how they can mitigate the impact through measures such as layoffs. Investments in the sector have also been hit and [survival] in the short term has become a question,” says Zerah Gonsalves, former head of Esports Operations at the Bahrain-based D11 Gaming and Player Representative at EPWA. While some firms are working on strategies to retain players, others may diversify to sustain themselves, she adds.

Some firms are also thinking of shifting abroad. Ahuja, for instance, admits to actively looking out, adding that he is not sure if the government’s promise to review the situation six months later will change anything.

“Gaming is a borderless and innovation-driven business, and India currently holds a mere 1 per cent share of the global market. In contrast, the US and China contribute 23 and 25 per cent, respectively. Given India’s status as a global IT powerhouse, achieving a 5-10 per cent global market share should be well within reach, unless hampered by excessive regulation and over-taxation,” says Amrit Kiran Singh, President of Skill Online Games Institute, an industry initiative that aims to be the repository of all information related to the industry.



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PRESIDENT, SKILLED ONLINE GAMES INSTITUTE

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THE WAY AHEAD

While the outcome is yet to be assessed, the stakeholders remain divided. Many experts believe the industry might meet the same fate as crypto assets, while others don’t think this is the end of the road. A Dream11 spokesperson says, “Today, India ranks among the world’s largest fantasy sports markets by user base and we are constantly innovating using technology to transform sports experiences for fans across India,” he says, adding that the industry’s potential and passionate fans are what keeps them optimistic.

Thamby of Games24x7 says the industry would like to come to a middle ground with the government while advocating for a tax on GGR.

But, tax authorities say it is the player who has to pay the GST, not the firm. “If they are still interested, they will surely take the burden and play,” says an official.

For Ahuja, the immediate future looks bleak. But it’s not certain yet if the sun has indeed set on this sector. **BT**

\$2.8

BILLION

AMOUNT RAISED BY GAMING COMPANIES IN INDIA FROM INVESTORS ACROSS THE GLOBE IN THE PAST FIVE YEARS

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